Managing Motivation

Trimester 2.2025

- **Content theories**

1. Hierarchy of needs (Maslow)
2. ERG theory (Alderfer)
3. Two-factor theory (Herzberg)
4. Needs theory (McClelland)

- **Process theories**

1. Expectancy theory (Vroom)
2. Equity theory (Adams)
3. Goal Setting theory (Locke)
4. Exchange theory (Homans)

Expectancy Theory
(Victor Vroom)

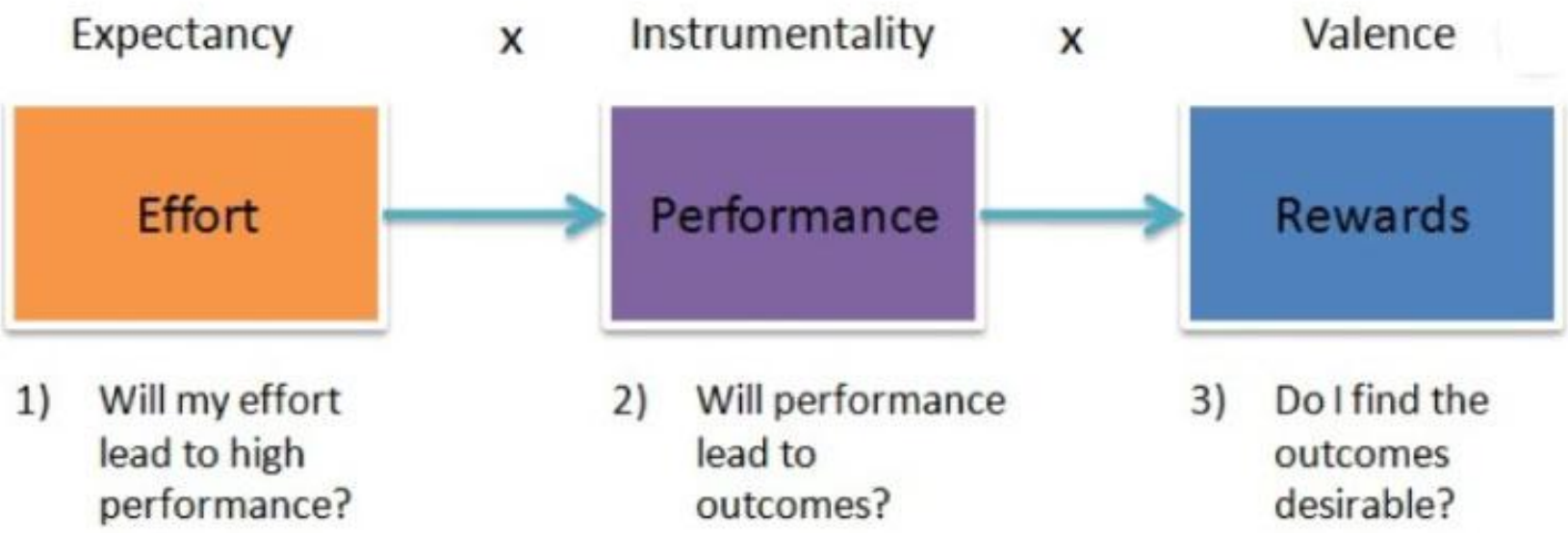
- Employees are motivated when they perceive their efforts will result in successful performance and desired rewards and outcomes
- **4 components:**
  1. Expectancy
  2. Instrumentality
  3. Outcomes (Rewards)
  4. Valence

"Is it worth the effort?"

Expectancy Theory

- **Expectancy**
  - the probability that an employee's ***effort will result in a desired level of performance***
  - represents the employee's perception of how hard it will be to successfully perform a task
- **Instrumentality**
  - the strength of an employee's belief that their ***performance will lead to desired outcomes***.
  - managers need to communicate to employees that successful performance will be rewarded
- **Desired outcomes and valence**
  - Valence: the preferences for outcomes as seen by the individuals

Expectancy Theory of motivation



Source: urquery.com

Equity Theory
(John Stacey Adams)

- Examines how a person might respond to perceived discrepancies between their input/outcome ratio and that of a reference person
- Employees compare their efforts and rewards with those of others in a similar work situations

“Am I being treated fairly”

Equity Theory (Example)

What would you do?

Equity Theory (Example)

- **Change procedures to restore equity**

Goal Setting Theory
(Edwin Locke)

- Individual's conscious goals and intentions are the primary determinants of behavior
- **Attributes of goal setting:**
  - **Goal specificity:** the degree of quantitative precision of the goal
  - **Goal difficulty:** the degree of proficiency or the level of goal performance that is being sought
  - **Goal intensity:** the process of setting a goal or of determining how to reach it
  - **Goal commitment:** the amount of effort that is actually used to achieve a goal

"Do I have a clear and meaningful goal?"

Goal Setting Theory (Example)

Anna's company wants to reduce production costs while maintaining product quality. Her manager assigns her a goal to lead the cost-reduction initiative for the next quarter.

Goal Specificity
(*how clearly the goal is defined*)

Eg. Reduce production costs by 8% within 3 months

Goal Difficulty
(*how challenging the goal is*)

Eg. Moderate-High level (i.e., challenging but attainable)

Goal Intensity
(*effort, focus & urgency needed*)

Eg. Top priority; spends extra hours analyzing cost data, coordinate with operations team, tracks progress closely

Goal Commitment
(*how strongly the individual is attached to the goal*)

Eg. High; personally believes in the value of reducing waste & improving efficiency; sense of ownership

Motivation and Psychological Contract

- **Exchange theory**
  - members of an organization engage in reasonably predictable ***give-and-take*** relationships (exchanges) with each other
  - the degree to which employees are willing to exert effort, commit to organizational goals, and derive satisfaction from their work depends on two conditions:
    1. Employee expectations of what the organization will give them and what they owe the organization = the organization's expectation of what it will give and receive
    2. The specific nature of what is exchanged (e.g., effort for pay)

"Is what I'm getting out of this exchange worth what I'm putting in?"